

Amendment No. 1 to SB2684

Bailey  
Signature of Sponsor

**AMEND Senate Bill No. 2684\***

**House Bill No. 2589**

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 67, Chapter 6, Part 3, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Qualified building materials" means tangible personal property purchased during the qualified capital investment period, that becomes part of the real property comprising a facility described in subsection (b); and

(2) "Qualified capital investment period" means a period beginning July 1, 2026, and ending December 31, 2032.

(b) Subject to approval by the commissioner pursuant to subsection (c), qualified building materials are exempt from the sales and use tax imposed by this chapter if the qualified building materials are used in the construction, expansion, or renovation of one (1) or more qualified facilities located within the boundaries of an industrial development board established pursuant to title 7, chapter 53, part 1, if:

(1) The industrial development board's jurisdiction is limited to a center city area and areas adjacent to the center city area; and

(2) The taxpayer or the taxpayer's lessee makes a capital investment of at least sixty million dollars (\$60,000,000) in the construction, expansion, or renovation of the facility and related facilities at the same location during the qualified capital investment period.

(c)

(1) A taxpayer seeking the exemption authorized by this section shall apply to the commissioner of revenue on a form prescribed by the commissioner. The application must describe the capital investment to be made during the qualified capital investment period and demonstrate that the requirements of this section will be satisfied.

(2) If the commissioner of revenue determines that the application satisfies the requirements of this section, then the commissioner shall approve the application and issue a certificate of exemption to the taxpayer.

(d) If a taxpayer fails to satisfy the requirements of this section, then the taxpayer is liable for any sales or use tax, penalty, and interest that would have been due on purchases made under the exemption provided by this section.

(e) The department of revenue shall assess any tax due under subsection (d) within three (3) years after December 31 of the final year of the qualified capital investment period; except that the period for assessment may be extended pursuant to § 67-1-1501(b)(5).

(f) A taxpayer must file an application for the exemption authorized by this section with the department of revenue before January 1, 2032.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.